NVIDIA Corporation

NVDA NASDAQ

Buy	$202.54 ▼ 2.01%	12M Price Target	52-Week Range	Market Cap
		$235.00	$164.27 – $243.37	$4.89T

NVDA: Guide Reset, China Shortfall, But AI Capex Still Roaring

WHAT HAPPENED

- NVDA dropped 2% to $202.54 — the trigger was a $108B revenue guide that technically beat but didn't blow the doors off, so traders took profits. When a stock is priced for perfection, "just good" gets sold.
- The Alibaba/Tencent story matters: Chinese hyperscalers reportedly can't get the chips they ordered because of US export controls. That's billions in demand NVDA literally isn't allowed to fulfill — bullish for underlying demand, bearish for near-term China revenue.

WHY IT MATTERS

Here's what I'm reading into the tape: the broader market ripped (Consumer Disc +4.6%, Financials +3%), and NVDA went DOWN. That's a classic "AI trade is crowded, money is rotating" signal — investors are taking chips off the table in the Mag 7 winner and spreading them into cyclicals and value. That doesn't mean the thesis is broken; it means positioning got heavy and needs to reset. The $108B guide is the new bar — if they beat it next quarter, the stock re-rates higher; if they just meet it, we chop around $200 for a while. The China shortfall is actually a double-edged sword: it confirms demand is insane, but it also caps the ceiling until trade policy clarifies.

POLICY & POLITICAL WATCH

The big one is the ongoing US-China chip export framework — the Trump administration has been negotiating a "tiered" access deal that would let NVDA sell watered-down H20-successor chips to China in exchange for Chinese concessions elsewhere. If that gets formalized in the next 60 days, it unlocks $15-20B in previously blocked revenue and the stock rips. Meanwhile, the federal AI infrastructure spending from the CHIPS Act extensions and DoD AI budget (reportedly $12B earmarked for FY27) is a quiet tailwind — NVDA is the default vendor for nearly every federal AI contract. Watch for any Commerce Department announcement on export license expansions; that's the near-term policy catalyst.

IS IT EXPENSIVE?

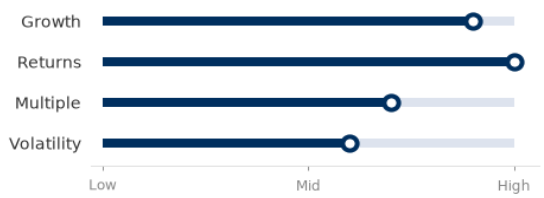
At $4.89T market cap and ~35x forward earnings, you're paying $35 for every $1 of profit NVDA is expected to make next year. That sounds rich, but for a company growing revenue 50%+ with 75% gross margins, it's actually not crazy — the PEG ratio (price-to-earnings divided by growth) is under 1, which old-school value guys would call reasonable. The risk isn't that it's overvalued today; it's that any crack in the AI capex story means multiple compression fast.

WHAT COULD GO WRONG

Key Data

Price (USD)	**$202.54**
12M Price Target	**$235.00**
Upside / (Downside)	**+16.0%**
Market Cap	**$4.89T**
FY2027E Revenue	**$235M**
FY2028E Revenue	**$310M**
FY2027E EPS	**$5.85**
FY2028E EPS	**$7.80**
Fwd P/E	**34.6x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

NVDA — NVIDIA Corporation | November 04, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$220.00**	$208.00	**$190.00**
6 Months	**$260.00**	$230.00	**$180.00**
1 Year	**$290.00**	$235.00	**$170.00**
2 Years	**$360.00**	$280.00	**$160.00**
5 Years	**$550.00**	$380.00	**$180.00**
10 Years	**$900.00**	$550.00	**$200.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Discretionary (+4.6%) and Financials (+3%) — this is a risk-on, rate-cut-expectations rally. Money is flowing into rate-sensitive and consumer names on hopes the Fed keeps cutting.

COOLING OFF: Mega-cap tech leadership is taking a breather. Not broken, just crowded — the Mag 7 has carried the market all year and investors are rebalancing.

ROTATION WATCH: Classic late-cycle rotation out of winners into laggards. This is healthy for the market but creates near-term pressure on NVDA specifically. Doesn't change the 12-month story.

RELATED PLAY: Power and cooling for data centers — Vertiv (VRT), Eaton (ETN), and nuclear names like Constellation (CEG) benefit from the same AI capex wave without the China exposure.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Winning the custom silicon game — gets paid whether NVDA or in-house chips win, which is why it's holding up better on rotation days.
- VRT (Vertiv): Data center cooling and power — pure derivative play on AI buildout, less headline risk.

NVDA CONTEXT: NVDA is lagging the broad market today but still leading its long-term peer group on fundamentals. The lag is positioning, not thesis — this is the kind of day where you add if you're underweight, not sell if you're overweight.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — The business is firing on all cylinders and the policy backdrop is net-positive; the only reason it's not a 9 is near-term crowding and China uncertainty.

POSITION SIZE: 4-6% of portfolio — big enough to matter, small enough that a 20% drawdown doesn't ruin your year.

ENTRY POINTS: Scale in around $195-200. If we get a full-blown AI pullback to $180, back up the truck.

TIME HORIZON: 12-24 months. The catalyst I'm waiting for is the next earnings beat-and-raise plus clarity on China export policy.

WHEN TO BAIL: Two hyperscalers cutting capex guidance in the same quarter, OR revenue missing guide by >5%, OR a full China chip ban reinstated.

HEDGING: If you're nervous, buy 3-month puts 10% out of the money — think of it as insurance that costs ~2% of your position but caps your downside. Or just hold cash on the side to buy the dip.

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